



PAPER – 5: INDIRECT TAX LAWS

- (1) All questions have been answered on the basis of position of (i) GST law as amended by the Finance Act, 2025 including significant notifications and circulars and other legislative amendments made, which are effective up to 31st October, 2025 and (ii) customs law as amended by the Finance Act, 2025 including significant notifications and circulars and other legislative amendments made, which are effective up to 31st October, 2025.
- (2) Unless otherwise specified, the section numbers and rules referred in questions and answers relating to GST pertain to the Central Goods and Services Tax Act, 2017 and the Central Goods and Services Tax Rules, 2017 respectively.
- (3) The GST rates for goods and services mentioned in various questions are hypothetical and may not necessarily be the actual rates leviable on those goods and services. The rates of customs duty are also hypothetical and may not necessarily be the actual rates. Further, GST compensation cess should be ignored in all the questions, wherever applicable.



QUESTIONS

Case scenario – I

Carbonlite Industries Ltd. (CIL) is supplier registered under GST in Ahmedabad, Gujarat. It is engaged in manufacture of smart watches and supply of various other goods and services. The smart watches are supplied with a standard warranty period of 1 year. In addition, CIL also offers an optional extended warranty for a further period of 6 months under separate agreement entered

into with various customers for smart watches sold through its distributors. Extended warranty is effective after expiry of original warranty which has been provided at the time of actual sale of smart watches. It provides the details of various activities undertaken by it during the month of October as follows:

(A)	Details of outward supplies				Amount (₹)
i	Outward supply of smart watches with standard warranty period of 1 year to various distributors during the month –				50,00,000
	a.	Within Gujarat		15,00,000	
	b.	Outside Gujarat		35,00,000	
ii	Amount received by CIL for extended warranty provided by it -				
	Sr. No.	Particulars	For effected sales during the month of October	For effected sales during the month of September	
	a.	Within Gujarat	1,50,000	50,000	
	b.	Outside Gujarat	3,00,000	1,00,000	
iii	Cost of spare parts replenished by CIL to its distributors through delivery challans, without separately charging any consideration, for replacement of parts by the distributor to the customers under warranty –				55,000
	a.	Within Gujarat		25,000	
	b.	Outside Gujarat		30,000	
(B)	Details of inward supplies				Amount (₹)
i	Raw material imported from Germany [Value of the goods was worked out by the Customs authorities as ₹ 10,00,000 for the purpose of levy of IGST.]				–

ii	Debit note received from a distributor registered in the State of Karnataka for providing repair services on 2 nd October as part of warranty to one of the customers on behalf of CIL. No consideration was charged from the customer for the same. Date of issue of debit note for repairs undertaken was 25 th October and payment was made by CIL on same day.	15,000
iii	Purchase of goods on 21 st September from M/s Patagonia LLP, registered in Tamilnadu and filing monthly GSTR-1. M/s Patagonia LLP has filed its Form GSTR-1 for the month of September on 15 th October.	2,00,000
iv	Intra-State purchase of manufacturing machine sent directly to job worker's premises under delivery challan	4,00,000

The company provided the following additional information for the month of October:

- (i) CIL took delivery of the raw material imported Germany from Kandla Port, Gujarat on 13th October after payment of applicable customs duty and social welfare surcharge @ 10%.
- (ii) CIL supplied taxable goods in the territorial waters to InnoMek Builders for ₹ 6,00,000. Territorial waters is located at a distance of 12 nautical miles from the baseline of Kerala and 15 nautical miles from the baseline of Tamil nadu.
- (iii) CIL supplied solar panels (used for business purpose & on which no ITC has been taken yet) given free of cost to unrelated person based in Gujarat.
[Purchased 2 years' back at a price of ₹ 1,12,100 (including GST). Open market value is ₹ 75,000.]
- (iv) CIL supplied moulds and dies owned by it to unrelated component manufacturers free of cost in October; market value of the same was ₹ 3,30,000.
- (v) CIL provided free training on 'Sales & Customer Engagement Skills' to all its agents free of cost in October; cost of such training was ₹ 1,80,000.

- (vii) Opening balance of input tax credit at the beginning of October is ₹ 95,000 -CGST, ₹ 65,000 -SGST and ₹ 5,25,000 -IGST.
- (viii) All the figures given are exclusive of GST, wherever applicable, except stated otherwise.
- (ix) Subject to the information given above, all other conditions necessary for claiming ITC were complied with.
- (x) Rates of CGST, SGST and IGST are 9%, 9% and 18% respectively for both inward and outward supply of goods and services, except warranty services for which rates of CGST, SGST and IGST are 2.5%, 2.5% and 5% respectively.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 6 below:

1. Which of the following activities/ transactions undertaken by CIL do not amount to supply?
 - (i) Supply of taxable goods in territorial waters.
 - (ii) Solar panels being used for business purpose given free of cost to unrelated person.
 - (iii) Supply of moulds and dies owned by it to unrelated component manufacturers free of cost.
 - (iv) Free of cost training provided to agents.

Choose the most appropriate option.

 - (a) (ii) and (iv)
 - (b) (ii), (iii) and (iv)
 - (c) (i), (iii) and (iv)
 - (d) (i), (ii) and (iii)
2. GST payable on smart watches supplied along with extended warranty offered for sales in October is _____.
 - (a) CGST - ₹ 1,35,000, SGST - ₹ 1,35,000 and IGST- ₹ 6,30,000
 - (b) CGST - ₹ 1,48,500, SGST - ₹ 1,48,500 and IGST- ₹ 6,84,000

- (c) CGST - ₹ 1,38,750, SGST - ₹ 1,38,750 and IGST- ₹ 6,45,000
- (d) CGST - ₹ 1,35,000, SGST - ₹ 1,35,000 and IGST- ₹ 6,45,000
3. GST payable on extended warranty offered for sales effected in September is _____.
- (a) CGST - ₹ 4,500, SGST - ₹ 4,500 and IGST- ₹ 18,000
- (b) CGST - ₹ 4,500, SGST - ₹ 4,500 and IGST- ₹ 5,000
- (c) CGST - ₹ 1,250, SGST - ₹ 1,250 and IGST- ₹ 5,000
- (d) CGST - ₹ 1,250, SGST - ₹ 1,250 and IGST- ₹ 18,000
4. GST payable on the spare parts replenished by CIL to its distributors for replacement of parts by the distributor to the customers under warranty is _____.
- (a) CGST - ₹ 625, SGST - ₹ 625 and IGST- ₹ 1,500
- (b) CGST - ₹ 2,250, SGST - ₹ 2,250 and IGST- ₹ 5,400
- (c) CGST - ₹ 2,875, SGST - ₹ 2,875 and IGST- ₹ 6,900
- (d) CGST - Nil, SGST - Nil and IGST - Nil
5. Amount of ITC admissible to CIL for the month of October is _____.
- (a) CGST - ₹ 1,31,000, SGST - ₹ 1,01,000 and IGST- ₹ 7,43,700
- (b) CGST - ₹ 1,33,500, SGST - ₹ 1,03,500 and IGST- ₹ 7,05,000
- (c) CGST - ₹ 95,000, SGST - ₹ 65,000 and IGST- ₹ 7,05,000
- (d) CGST - ₹ 95,000, SGST - ₹ 65,000 and IGST- ₹ 7,07,700
6. Place of supply of goods in territorial waters is _____ and tax payable on the same is _____.
- (a) Gujarat, CGST - ₹ 54,000 and SGST - ₹ 54,000
- (b) Kerala, IGST- ₹ 1,08,000
- (c) Tamil Nadu, IGST- ₹ 1,08,000
- (d) Tamil Nadu, CGST - ₹ 54,000 and SGST - ₹ 54,000

Case scenario – II

HydroCool Enterprises, a partnership firm, is a supplier of water coolers located in Kota, Rajasthan, and is duly registered under the GST law in the State of Rajasthan. It undertakes both intra-State and inter-State supplies in the ordinary course of trade.

In the month of January, HydroCool Enterprises supplied water coolers to ChillPure Traders, Kerela, an unrelated party, for a total consideration of ₹ 2,95,000 (inclusive of GST @ 18%). In addition to this monetary payment, ChillPure Traders also provided certain materials to HydroCool Enterprises as an additional consideration. These materials were valued at ₹ 10,000 (exclusive of GST). At the same time, HydroCool Enterprises supplied water coolers of the same quality and specifications to another unrelated customer for a price of ₹ 2,97,360 (inclusive of GST @ 18%).

HydroCool Enterprises also entered into a contractual arrangement with Apexion Innovations (Bengaluru, Karnataka), an Information Technology service provider, for availing data backup and database access services. The details of said services availed are as follows:

Particulars	Date
Apexion Innovations raised an invoice on HydroCool Enterprises for data backup and database access service.	21 st February
HydroCool Enterprises issued and dispatched a demand draft as payment.	25 th February
Demand draft was received and recorded in the books of Apexion Innovations.	28 th February
Apexion Innovations encashed the demand draft	3 rd March
Apexion Innovations provided database access to HydroCool Enterprises.	4 th March onwards

In the meanwhile, the rate of GST is changed from existing 18% to 5% from 1st March.

In February, HydroCool Enterprises got a favourable advance ruling order on a particular issue from the Authority for Advance Ruling, Rajasthan. The application was filed by HydroCool Enterprises through its registered place of business in Rajasthan.

In the month of March, as the financial year drew to a close, HydroCool Enterprises launched a special performance-linked incentive scheme to motivate its sales team. Under this scheme, each employee who achieved the targeted sales milestone was rewarded with a total incentive payment of ₹ 75,000. The incentive was part of the employees' salary structure, formed part of employment remuneration and was subject to applicable tax deduction at source (TDS) under the Income-tax Act.

HydroCool Enterprises intended to transfer the business as going concern to Dhruv & Sons (DS) on 31st March. As per the terms of transfer, HydroCool Enterprises will transfer all the business assets worth ₹ 15,00,000 and all the liabilities valued at ₹ 20,00,000. Balance of ITC as on 31st March is ₹ 40,000.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 7 to 11 below:

7. Determine the value of water coolers supplied in January by HydroCool Enterprises to ChillPure Traders.
 - (a) ₹ 2,50,000
 - (b) ₹ 2,52,000
 - (c) ₹ 2,40,000
 - (d) ₹ 2,60,000
8. Time of supply of the data backup and database access services provided by Apexion Innovations is:
 - (a) 21st February
 - (b) 25th February
 - (c) 28th February
 - (d) 1st March

9. In case of transfer of business to DS, what is the amount of input tax credit which shall stand transferred to DS?
- (a) ₹ 20,000
 - (b) ₹ 40,000
 - (c) Nil. In case of partnership firm input tax credit cannot be transferred on account of transfer of business.
 - (d) Nil as the value of liabilities is more than the value of assets.
10. Which of the following statements is correct with respect to incentive paid to the employees in March?
- (a) GST is payable on incentive since the incentive is linked to sales performance and constitutes consideration for supply of services by employee.
 - (b) GST is payable on incentive since incentives are not covered under Schedule III.
 - (c) GST is not payable on incentive since it is covered under Schedule III.
 - (d) GST is payable on incentive since the incentive amount exceeds ₹ 50,000 per employee in a financial year.
11. In relation to the advance ruling order received by HydroCool Enterprises in Rajasthan,
- (a) the order is binding on HydroCool Enterprises only in Rajasthan but on jurisdictional officers across all registrations of the firm in India.
 - (b) the order is binding on HydroCool Enterprises across all States in India.
 - (c) the order is binding on HydroCool Enterprises and the jurisdictional officer, in Rajasthan.
 - (d) the order is binding on HydroCool Enterprises and the jurisdictional officers across all registrations of the firm in India.

12. Bharti Company imported goods valued at ₹ 10,00,000 vide a Bill of Entry presented before the proper officer on 15th July on which date the rate of customs duty was 20%. The proper officer decided that the goods should be subject to chemical or other test and therefore, the same were provisionally assessed at a value of ₹ 10,00,000 and Bharti company paid provisional duty of ₹ 2,00,000 on the same date. Bharti Company wants to voluntarily pay duty of ₹ 1,50,000 on 20th August.

The amount of interest payable under section 18 of the Customs Act, 1962 is _____ assuming that the payment of ₹ 1,50,000 as stated above is made on 20th August, and that the final duty is assessed on 31st August at ₹ 4,00,000 and the balance duty is paid on the same day.

- (a) Nil
 (b) ₹ 3,144
 (c) ₹ 1,274
 (d) ₹ 4,418
13. Earthovia Ltd., a registered entity under GST in the State of Maharashtra, is engaged in making various supplies. It provides the following information for the month of April:

S. No.	Particulars	Amount (₹)
	OUTWARD SUPPLY:	
(i)	Information technology services provided to unrelated clients located in foreign countries. In all cases, the consideration has been received in convertible foreign exchange	20,00,000
(ii)	Supplied 50 bluetooth speakers at Hyderabad to the State Government of Telangana.	8,00,000
	Charging cables mandatorily required for charging the bluetooth speakers were also supplied along with these speakers.	72,000

(iii)	Provided intra-State service as a Direct Selling Agent (D.S.A.) to Ujjval Growth Small Finance Bank Limited for their retail loan products	3,80,000
(iv)	Passenger transportation service provided to tourists by the company owned ferries between two islands in the State of Maharashtra for tourism purpose.	1,20,000
(v)	Supplied goods to its agent in the State of Bihar. Open market value of the said goods were ₹ 3,00,000. The said agent is supplying goods of like kind and quality to his unrelated customer at ₹ 3,20,000.	
	INWARD SUPPLY:	
(i)	Purchased silk yarn (to be used as raw material) from Mr. Subhash, who manufactures silk yarn from raw silk. Mr. Subhash is registered in the State of Maharashtra.	4,00,000
(ii)	Purchased a new truck from a dealer in Cochin, Kerala for transport of materials. The company claimed depreciation under the Income-tax Act on the value of new truck purchased including all applicable taxes.	14,00,000
(iii)	Fees paid to a Chartered Accountant - Mr. Prashant, registered in Gujarat (₹ 35,000 for the statutory audit of preceding financial year and ₹ 25,000 for certification work.)	2,00,000

The company provided the following additional information:

- (i) Earthovia Ltd. wishes to choose the most beneficial option in respect of supply to agent and branch transfer.
- (ii) Earthovia Ltd. transferred certain taxable items to its Kerala branch for distributing as free samples on the occasion of inauguration of said branch which is yet to be registered. Value declared in the invoice for transfer was ₹ 2.50 lakh whereas open market value of

the same was ₹ 3 lakh. Kerala branch has yet not sold such kind of goods to any of the customer.

- (iii) Rates of CGST, SGST and IGST are 9%, 9% and 18% respectively for both inward and outward supply of goods and services, except charging cable for which the rates of CGST, SGST and IGST are 2.5%, 2.5% and 5% respectively.
- (iv) All the amounts given above are exclusive of taxes, wherever applicable.
- (v) No inward supply is used for non-business purpose.
- (vi) There was no opening balance of any ITC.

From the information given above, you are required to compute the eligible Input Tax Credit (ITC) available and minimum net GST liability payable in cash (CGST, SGST or IGST, as the case may be) for the month of April for the Earthovia Ltd., Maharashtra.

14. 'XYZ', a statutory body, deals with the all the advertisement and publicity of the Government. It has issued a release order to 'Buzz Box' TV channel (registered in State 'A') for telecasting an advertisement relating to one of the schemes of the Government in the month of September. The advertisement will be telecasted in the States of 'A', 'B', 'C', 'D' and 'E'. The total value of the service contract entered into between 'Buzz Box' and 'XYZ' is ₹ 10,00,000 (exclusive of GST).

You are required to determine the place of supply of the services in the instant case as also the value of supply attributable to the States of 'A', 'B', 'C', 'D' and 'E'.

Further, compute the GST liability [CGST & SGST or IGST, as the case may be] of 'Buzz Box' as also advise it as to whether it should issue one invoice for the entire contract value or separate State-wise invoices.

The other relevant information is given hereunder:

Table 1

States	Viewership figures of 'Buzz Box' TV channel in the last week of June as provided by the Broadcast Audience Research Council
A	50,000
B + C	1,00,000
D + E	50,000

Table 2

States	Population as per latest census (in crores)
A	50
B	180
C	20
D	100
E	25

The applicable rate of tax is as under:

CGST	SGST	IGST
9%	9%	18%

15. Sattva & Associates is a supplier of taxable goods. It has entered into a contract to supply a consignment of certain taxable goods. However, since it is unable to determine the value of the goods to be supplied by it, it applies for payment of tax on such goods on a provisional basis along with the required documents in support of its request.

On 12th January, the Assistant Commissioner of Central Tax issues an order allowing payment of tax on provisional basis indicating the value on the basis of which the assessment is allowed on provisional basis and the amount for which the bond is to be executed and security is to be furnished.

Sattva & Associates complies with the same and supplies the goods on 25th January thereafter paying the tax on provisional basis in respect of said consignment on 19th February.

Consequent to the final assessment order passed by the Assistant Commissioner of Central Tax on 21st March, a tax of ₹ 1,80,000 becomes due on the consignment.

Sattva & Associates pays the tax due on 9th April. Determine the interest payable, if any, by Sattva & Associates in the above case.

Assuming all the other facts remaining the same, if consequent to the final assessment order passed on 21st March, a tax of ₹ 4,20,000 becomes refundable on the consignment, refund of which is applied by Sattva & Associates on 9th April and tax was refunded to it on 5th June, determine the interest receivable, if any, by Sattva & Associates in the given case.

16. PrimeAxis Ltd. and BluePeak Ltd., two well-established manufacturing companies registered under GST in the State of Maharashtra, decided to strengthen their market presence by merging their operations. After following due legal procedures, they filed an application for merger before the Court. On 22nd May, the Court passed an order approving the merger, stating that it would take effect retrospectively from 1st April. However, an important transaction had already taken place on 15th May, wherein PrimeAxis Ltd. supplied a consignment of taxable goods to BluePeak Ltd.

The accountant of PrimeAxis Ltd. took the view that no GST was payable on this transaction. According to him, since the merger was effective from 1st April (as per the Court's order), both companies were deemed to be one entity from that date. Therefore, the transfer of goods on 15th May does not qualify as "supply" under GST. You are required to assess the technical veracity of the claim of the accountant of PrimeAxis Ltd.

17. Briefly illustrate the specific categories of services notified under section 9(5) the tax on supplies of which is payable by the electronic commerce operator (ECO) if such services are supplied through it.
18. David Ltd. is the manufacturer of semi-conductors in the State of Gujarat. It imported machinery by air from France for making sub parts

to be used in assembling of semi-conductor. The following particulars are furnished by it:

S. No.	Particulars	Amount US \$
i	CIF value of the machinery	50,000
ii	Freight paid (Air)	12,500
iii	Insurance charges	2,500

Additional information:

- (i) Design and patent charges of USD 2000 was required to be paid in France, which is not included in CIF value given above.
- (ii) Date of filing the Bill of entry was 24th September and the rate of exchange notified by CBIC on this date was ₹ 80 per US \$.
- (iii) Date of arrival of aircraft was 20th October and the rate of exchange notified by CBIC on this date was ₹ 84 per US \$.

From the above information, you are required to compute the assessable value under the Customs Act, 1962.

19. SuperArc Paper Mills Ltd. imported 500 tons of bamboo pulp paper rolls on 5th April. It warehoused the said rolls in its private bonded warehouse, as per the order dated 15th April permitting deposit of the said goods in warehouse for 5 months. The rate of customs duty applicable on the date of deposit was 5%.

SuperArc Paper Mills Ltd. filed an application for extension of warehousing period on 10th September which was rejected. So, an 'ex-bond bill of entry' was filed on 4th October claiming nil customs duty since the rate of customs duty on bamboo pulp paper rolls was exempted by virtue of an exemption notification with effect from 2nd October and valid till 15th October.

On 17th October under section 72 of the Customs Act, 1962, a notice has been issued to the company demanding customs duty @ 7.5%, rate being effective on the date of issue of notice along with interest.

You are required to determine the technical veracity of claim of SuperArc Paper Mills Ltd. and notice issued by the proper officer.

Explain in brief the relevant provisions of the Customs Act, 1962. Rates of customs duty mentioned here represents rates of basic customs duty.

20. Aurex Global Industries Ltd. imported certain machinery, and the customs authorities passed an assessment order determining the duty payable. Aurex Global Industries Ltd. was of the view that excess duty had been levied due to an incorrect classification adopted in the assessment order. However, Aurex Global Industries Ltd. paid the duty under protest. Subsequently, the company filed a refund application contending that the duty had been wrongly assessed and excess duty had been collected.

With reference to the principles laid down in a decided case law, if any, examine whether the refund claim filed by Aurex Global Industries Ltd. is maintainable in law.